**RFP NO. DE-RP96-26PO00004**

**EXCHANGE OF UP TO 92.5 MILLION BARRELS OF CRUDE OIL FROM THE STRATEGIC PETROLEUM RESERVE**

## Questions & Answers

1. Question: What is the transportation cost/bbl for moving crude from Bryan Mound to Jones Creek?

   **Answer: Please see Section J, Exhibit E on page J-21 of the RFP for ExxonMobil Pipeline contact information. Tariffs can be found at the link Crude, but Offerors will need to confirm information with ExxonMobil.**

2. Question: Would on-demand payment bonds be accepted in lieu of issuing letters of credit?

   **Answer: An Offer Guarantee Letter of Credit and a Payment and Performance Letter of Credit are required per B.5.d, L.5(b)(5), and M.3.f of the Request for Proposal (RFP).**

3. Question: Can you provide scavenger cost or estimated scavenger cost per stream offered?

   **Answer: Scavenger will be used in accordance with SPR criteria. Dosing ranges can be found in the RFP. Assuming dosing ranges in the RFP see table below for estimates using the minimum offer of 3,000,000 barrels are treated at Big Hill, Bayou Choctaw, and Bryan Mound. Current projections indicate that West Hackberry may avoid treatment due to remaining cavern selection June – August. Please be advised that these values can fluctuate based on actual dosing and or other conditions such as allocation of fixed costs weighted amongst customer mix per site/stream on a monthly basis, caverns, and ambient conditions.**

| | Per barrel |
|---|---|
| BC sour | $ 0.70 |
| BM sour | $ 2.83 -$ 4.84 |
| BM sweet | $ 0.19 - $ 0.32 |
| BH sour | $ 0.52 |

4. Question: For movements from Bryan Mound to Seaway Freeport Dock, is the winner at that location responsible for acquiring dock space for export from Enterprise, or is the volume considered FOB at the dock?

   **Answer: Please refer to section B.1b of the RFP; the SPR does not provide delivery windows at connected terminals. You can also refer to RFP Section E.1: Custody Transfer Measurements for Delivery of Exchange Oil from the SPR.**

5. Question: Is a full performance letter of credit absolutely required for awardees? Has the DOE ever waived the requirement due to the financial size and length of time that the LC is carried?

   **Answer: Please see the response to Question 2 above.**

6. Question: If awarded volume, can we shift financial obligations/letters of credit from one line to another 2 to 4 weeks after the award?

   **Answer: DOE may provide consent to substitute a letter of credit if requested. The request would be reviewed and coordinated with the specific Contractor if approved by DOE.**

7. Question: Is there a minimum bid quantity for a specific cavern, segregation, and month of delivery, assuming we hit the 3 MMB total offer minimum?

   **Answer: In accordance with the RFP Section B.1(d), the minimum offer quantity is 3,000,000 barrels for all offers at all sites in this solicitation.**

8. Question: The offer form for release no. 2 does not include Bayou Choctaw or Big Hill in the SPR Site dropdown menu in Column B.

   **Answer: The offer form has been corrected, and an updated Exhibit A-1 may be found on the SPR website at https://www.spr.doe.gov/doeec/ActiveDocs.htm?type=exchange.**